The Government Is About to Change the Bond Market

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode argues that major US policy shifts, specifically the announcement of Treasury-led Yield Curve Control (YCC) and aggressive trade rhetoric targeting Canada and China, are occurring with greater urgency and less transparency than anticipated. While market volatility has been low, the hosts view these actions as signals of deep fiscal dysfunction, inflationary risks, and a move toward "socializing losses" for the banking sector. There is a strong consensus among the speakers that structural US deficits and policy incoherence are forcing unconventional financial interventions, necessitating investors to de-risk exposure to US equities and bonds by prioritizing international assets, commodities, and hard currency holdings.

2. Key Arguments & Data

3. **Market Performance:** SPY down 0.29% (still in a tiny drawdown); Q down 1%; Bitcoin up ~1%; Volatility Index at half a percent (under 18); Dollar index flat/up slightly; Gold up 0.6%, silver down 1%.
4. **Treasury Yield Curve Control (YCC):** Treasury plans to move bond buybacks from $4B to $6B and potentially go "all-out" using the TGA. Instead of QE executed by the Fed, this is being handled by the Executive Branch. The plan involves replacing long-term debt with short-term cash-like instruments to cap yields artificially.
5. **Financial System Risks:** Hosts argue banks are effectively nationalized; if banks fail on bond losses due to duration risk, taxpayers will bail them out (similar to SVB/TARP), rather than letting market mechanisms correct the loss. Ripping down the yield curve increases liquidity risk and inflation by converting long-term assets into short-term cash-like instruments.
6. **US-Canada Trade War:** 50% tariff on $20B of goods (approx. 1% of Canada GDP); potential doubling of auto tariffs. Debate centers on US lack of leverage; hosts argue the U.S. is acting like a "kicker" with an NFL lineman due to unequal GDP power ($3.2T vs $2.4T). They note

Canadaâ€™s economy relies heavily on exports (oil, gas, timber) which could be weaponized if tensions escalate.

7. **China & Iran Sanctions:** 7.5% tariff announced on China goods; threat to cut off major banks from the dollar system if they don't sever ties with Iran. Hosts express concern that aggressive sanctions may drive countries (China) away from the Dollar Reserve System, which is a strategic loss given US debt dependency.
8. **Policy Incoherence:** The U.S. administration appears to lack top-down strategic coherence across trade, defense, and financial policy. Negotiations for deals are often undermined by last-minute changes or internal confusion.

9. **Investment Performance Trends:** European equities (Euro-denominated) are outperforming US equities by 30% over the last 20 months, largely driven by currency strength rather than economic growth. The U.S. has been underperforming globally due to home-country bias.

10. Actionable Takeaways

11. **Shift Asset Allocation:** Reduce exposure to "home country bias" in US equities; increase allocation to international stocks and natural resources as the performance data suggests these outperformed US assets recently.
12. **Hedge Inflation:** Gold remains a strong defensive play; gold hitting $5,000 marks may be unsustainable or just the start of capital flight as global monetary debasement accelerates.
13. **Monitor Financial Stability:** Recognize that central banks and treasuries are socializing losses in bond markets; do not view bonds as risk-free instruments given the potential for government intervention to support failing institutions.
14. **Prepare for Fiscal Expansion:** Expect continued inflationary pressure from yield curve manipulation and trade policies; maintain liquidity reserves rather than relying on traditional debt financing strategies.

Full Transcript

You know, that's usually the way most of these things happen is when they get rolled out, people's attitude is, oh, well, hey, we'll cap yields. They'll quit going up and we won't have problems. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots. And I am joined as always by the brain trust himself, Mr. Chase Taylor. Another D-Day. Another, wait, well, what did we call? What was the other one? I'm already forgetting. This is D-Day. What was the last one called? Oh, I don't know. Remember, no, it was the day. What was the day? It was like last February or? Oh, you don't want the Tariff one? Yeah. Liberation day. Liberation day. Yes. Liberation day. We've got D day. We've got Liberation day. Yeah. It's so many places. Yeah. As always, it's been the case lately or as has been the case lately. A lot of different ways this can go. So why don't we go through the rundown first, get unencumbered with that duty and then and then hit it. Yep. So I have to note, first of all, Darren did you at the service? He hung you out to dry.

On the one episode where you kind of came across bullish, she like really went there with like the title and everything. So we've had one, two, three, four, five, six. We've had seven trading days since and they've all been, they've all been red candles. So. Oh, of course. Yeah. You bring yourself on this one. But now they're all little red candles, but we are down, we were down 0.29% on SPY today, though equal weight was a smidge positive. Q

is down 1%. And to be clear, we're in a tiny drawdown still. Small caps down 0.6. Bitcoin was up another one. The dollar was up a little bit, up 0.17 over XUS down 0.56. Mag 7 down 0.12, although everything but Nvidia and Tesla were up. And Tesla was down 0.38 and Nvidia down 0.29. So that was enough to drag the rest with it. Yields.

Flat on the front and the 10 was down three basis points the 30 down four We'll have more to talk about with that of course I would say yield probably down because a mixture of treasury trash talk and Oil down about 2.3% on the day as we had the D day announcement or in some ways lack thereof but Gold up about 0.6, silver down about 1%, but gold miners up about 0.7. So really kind of flat out on metals. Vol up half percent, you're still under 18. The AI trade had a rough one. DRAM down 2.9 and SMH down about two and a half. Yeah, you know, you're in kind of funny markets where you find out that you're up 0.08% on the day and you're like, oh, hey, that's better than I was hoping for.

Right. It really was looking at looking at some of the commodities and stuff. Yeah. So let's hit on that a little bit. I was expecting to see a little bit more fireworks. Is it related to as it related to commodities today? No need to speculate, but I thought that that was a bit strange. And then yet, I think it's going to be really important to see the next two or three days because as you and I have noted multiple times. At some point, this market got into a habit of responding to news two or three days after it happens on certain issues. Maybe that's the case here. I think you made a good point though, which was, I think you can look at the last month and say gold was front running a lot of this. A bit surprised to see, I'm not surprised to see anything out of oil these days. I think that's become its own whatever. I think it took the day off for D-Day. I think it'll be better.

Yeah, well, I mean, naturally, I mean, you know, commodities don't want to work on D-Day. Yeah, it's just, yeah, too much heavy lifting. I will confess to you that the new D-Day trade war with Canada, it kind of strikes me and hits in a similar fashion. That the yield curve control comments that came out a week ago did where you know, I knew that we've been negotiations with Canada but I see this like Seemingly a pretty aggressive ramp up and rhetoric and all that other kind of stuff just in the last few days Like I said it

it it seems it seems to rhyme with how The treasury came out and made their comments seemingly out of the blue I I can't and I don't want to be too ominous or anything like that, but sure It feels like there's it feels like that the people at in the know are looking at a set of things that are different than what we're looking at I You know, we could speculate on what the ramp they just What the new dust up with China or excuse me with Canada's all about that seems to have come out of the blue Maybe that's kind of a distraction game of Hey, pay attention to the things we're doing or maybe pay attention to the places that we think we can make progress in and not the places that we can't. I don't know, man. I got to be honest with you. I continue to scratch my head at the order of operations for lack of a better term and what we're doing and what we're not doing and the strategy behind it all. What are your thoughts? Again, you and I haven't had a chance to talk about this today, but what do you make all this stuff?

Let me first say let's we guys spend some real time on treasure because I was very very very big today Yeah, as far as the as far as the Canada stuff goes First of all 40 and slippy you said China instead of Canada the the D-Day stuff for Iran could lead back into confrontation with China that could be Very good. And I think we should talk about that. Mm-hmm as far as Canada goes if I understood this out I would Talk about but I don't As far as the 50% tariffs on 20 billion of goods, which obviously 20 billion goods, not a big deal. But now we're talking we're going to double the auto tariff. That is a big deal. Well, and 20 billion for us is not a big deal. But what is Canada's GDP? I'd have to look it up. But even of their exports to us though, it's not a huge portion.

What's tough about this whole thing when it comes to Canada is, we've got to get rid of this trade deficit with Canada. It's like the only reason you have a trade deficit is because you buy a bunch of like oil and gas and electricity, which if you want to make this for yourself, it's fine. But like those aren't manufactured. You know what I mean? Well, yeah. But the other thing too is when you're talking about. the home of a global reserve currency, I feel like that, you know, that's going to make you run deficits in a lot of places where you otherwise wouldn't. Yes, especially, especially people that have a bunch of stuff you need that are their inputs, they're not finished products. Now, as far as the car goes, like, you know, if you want to have a fight over

the cars, I think that sure, if you want to like get them to chill out on dairy, okay. But like, if the report is true that we were trying to like get them to dilute like language stuff for like not for like trying to dilute French speaking and Quebec and stuff and it's like what like They've been doing that for 400 years. Like what are we? What are we doing now? I mean French fur trappers man, right? Like right right like Yeah, like okay. I guess we could like get rid of all the Spanish names for towns and Texas and California while we're at it like what are we talking about? I I don't understand to begin with because I think they're an incredibly important partner and I think we're pushing them to diversify too much away from us. Like we've had a good setup to me. They sell us a bunch of raw materials, usually subsidized. We get them for cheaper than they can get on the global market. Like that was a great setup. They fight our dumb wars in Afghanistan and Iraq. We're gonna maybe not Iraq but Afghanistan with us, which they just had no business doing and they did it anyway. Like they've been a good partner. So to like, no, I'm fine with having a, So hard trade negotiations with them, which by the way the current trade negotiation the current trade deal we had with them this administration prior Did so like if it's bad they they did it like that makes it weird too, but But it wasn't just a fight about like man like we got to get our auto industry back on some level How can we work together to do more of that it it's been like throwing like haymakers and I and being ugly with them talking about annexing them and turning into a state and all this kind of stuff like I don't I don't I don't get it and it's it's another inflationary thing. I'm mildly inflationary but like it's still inflationary and if they fight back in a meaningful way because they a they could sell treasuries they actually own a lot they could put a surcharge on oil and gas and electricity that would be hugely problematic like there's they're not going to do that stuff probably but point being if they wanted to hurt us they could um not like we can hurt them I think everybody knows that no one's trying to argue that but At the end of the day, the things they sell, the whole world wants. The whole world wants oil. The whole world wants gas. The whole world wants timber. The whole world wants critical minerals. The whole world wants cars. They all want steel. They all want aluminum. That's their economy, fish. That's their economy. It's not like they're making high-tech stuff that is out competing us, and it's a problem. I don't understand, but... The other thing, too, is that...

Look, you can say, and I think there's a lot of room to say this, especially by way of China, that we've let people take advantage of us in certain aspects of trade and all that kind of stuff. But when you look- We didn't have to take advantage of us, yes. That's what I was just gonna say, man. I mean, it's not like we didn't have, it's not like those countries met and had a meeting without us and then dictated terms, right? Yeah, our corporate CEO was begging them to take advantage of us, yeah. Right, right. And then for us to turn on them, I just think it's a strange way to deal with these issues, meaning I think that there have been a lot of times in the past where I feel like we would have been better served to take a more blunt approach in some of these negotiations. I feel like we've rolled over too much, like you said, and driven so by CEOs that it benefited economically, but I just kind of feel like we were like a toothless tiger for a long time And so I think there are things that we could but now I feel like this approach is one that would be perfectly suited for a more soft power approach Just because in it like any trade negotiation we have with with Canada I keep I keep inverting the two Like we're going into that negotiation with nine tenths of the chips already Right. So it's not like, it's not like Canada is going to draw a hard line and tell us where to get stuck. You know, I just, not if it's just us trying to like get a little bit better deal. Right. Yeah. I just don't, I don't understand the, I don't understand the rancor. Now you and I could probably, you know, I could go back and forth on Carney. You know, I'm not a big fan of the guy.

And I'll just say it for political reasons. I don't agree with where he views the world as well and where he wants to go But I mean at the same time I think it's kind of hard to accuse him for being unreasonable during these you and I were having a conversation this morning and and I guess the point that I'm making is When I'm looking I'm obviously not involved in these conversations You don't want to be too judgmental from the sidelines, but I'm looking at Carney and going I don't, I don't know what else he's supposed to do in this situation. You know? I mean, what do you do? Do you just bend over and just, you know, grab your ankles and just say, you know, lay 10 on us, Don. I mean, what, you know, what are you, what are you supposed to do? I kind of feel like he's doing, he's playing the only card he's got. I don't, I mean. And politically they can't do that. Like if you look at the polling and stuff, like Canadians really want him to stand up. They're willing to take the pain for him to stand up.

into, you know, James and Greer basically said, like, both sides blamed each other. And I think there's probably some truth to like our side of like, this is hard for him politically to take to make the deal. I think it's probably partially true. For Carney, I would say, I want a big fan pre him being their leader. And to be clear, he's only their leader because of the trade war, like they were absolutely going to elect a conservative. And then the trade war got the country fired up and he was like outspoken. So everyone's like, Oh, we'll take that guy. I think he's done a good job since like, lots of deals with other middle powers, really diversifying, getting the pipelines built and stuff so they can start exporting to other countries. He's done the right things for his countries in the last whatever year. He's done what they had to do. But again, it's kind of like a lot of our problems. Whoever was running this place was going to do this, same for them. Whoever was running Canada has to do all the stuff he's all of a sudden doing. It's just the real constraints for them. They don't have a choice.

And I've seen a lot of people being like, oh, what candidates like selling out to China? I'll be clear here. That only came after we tried to rub their face in this trade war and take advantage of them. So I don't think she's important to them. They make a lot of cars. Usually just our cars. They make some Ford's and GM's. They send them right back to us and sell a few at home. So it's important for them. Jobs, GDP, you name it. So whenever we basically forced our way out and made a bunch of our companies get out of there. Do you have an empty factory? Like, of course you're going to look over to China and be like, you guys want to build some cars that are empty factories? We can ask them jobs. Like, yeah, naturally. So people selling it saying like, oh, they're just in China's pocket and they're selling out to China. They didn't want to do that. They didn't, they didn't, they wanted Chevy to be there, not BYD. They, they want to sell us, us, the oil, not China, but like we kind of are making them. Yeah.

And I looked up their GDP. Their GDP is running like 2.4 trillion, right? So that 20 billion, that's effectively 1% of GDP. That's not nothing, right? That matters. And I just find it an odd approach to take with them. You know, if you go into a negotiation and a, you know, 6'6", 320 pound NFL lineman is meeting up with a 5'9", kicker. And, you know, they're in the locker room. They've had some beef, right? I think every, every reasonable person is

going to make a bet that we're going to squash this beef and figure out a resolution between the two because not the outcome is so obvious. You know what I'm saying? It, the, the, that, that six, six NFL linemen isn't going to have to come in there and talk hard, right? Like the kicker knows the kicker knows if this goes to fisticuffs, I'm done, right? It just, it's just an odd posture to take, you know, with our economy.

And if it's a short 15 times what is that we're 15 times larger than they are economically speaking We it's just it's just an odd deal to get into this kind of crossfire when when when the when the chip stacks are that you know unequal Right, and if we take it from a trade negotiation into existential thing where you're talking about Annexing them and changing their culture and now you're making it Like, so the kicker all of a sudden is like, this feels like, this feels like my life's on the line. So I'm going to gouge this guy's eyes with my thumbs. I'm going to bite the flesh off his bones. Like he, he's not a kicker anymore. He's someone trying to survive. Right. Right. Which, which is where that different calculus. Yeah. And the kicker becomes much more dangerous in that scenario. Um, and again, not that they pose any serious threat to us, but I just, Here, here's another thing and I don't sold other treasuries and stopped selling us oil and gas and electricity. Obviously it blew up their economy, but that would really hurt us. So like, they it's not like they can do nothing. I would say that I'm not they're not going to do any of that stuff. But but point being, they have ways to hurt. Yeah, that would not be fun. Yeah, no, I the other thing that I'm trying to you're seeing a pattern here and I'm really I have never had good luck viewing something from the outside that I do not have intimate knowledge of and calling strikes and balls. Like I think is the case with most people, right? Like we want to, you know, we get 5% of the information and we want to come to a conclusion and you know, when you're dealing with 5% of the information, it's more than likely that your conclusion is going to be incorrect.

But as I watch these negotiations I see I don't know whether it's a negotiation style of Trump or a pattern and If it is a style I'm not really understanding the style if it is if it is a I mean it certainly is a pattern what I'm getting at is You keep getting these situations and I I was texting you this morning about this where we declare that something is done and we've

got a deal only to get down to the signing point and the other side's coming out going, that's not what we agreed to. Or even they sign it, but then you look back six months later, nothing's happened. Right. We go out of the trade deals we signed and we just weren't, they just weren't really real. Yeah, or they dealt with, you know, we were swapping soybeans for, you know, car bumpers or something like that. You know, just something that was really economically insignificant.

And I mean, you wouldn't look at it and say it was bad for America, but it was marginal at best, right? Like it didn't really mean anything. No change, yeah. Yeah. And then, and it was just, I couldn't help but to, I couldn't help but to be reminded of the Iranian negotiations. When I was listening to what Carney and the Canadians were saying today, they were like, Hey, we thought we had a deal and we sat down to go and it just wasn't the deal we discussed. And that has been an accusation from Europe, from Japan, from Korea that have all said some combination of like, they changed some stuff whenever it got toward the end. And they've also said that the negotiators on our team couldn't even agree on stuff and could not agree on what the priority was. Was it some FX stuff? So let's try to handicap that. I mean, I know it's a bit futile because we're not on the inside.

Again, I don't like to look at, and you know, people that hate Trump are going to be like, oh, that's because he's an idiot. He doesn't know what he's doing. People that are sick of fans of Trump are going to say it's because he's playing 3D chess and you don't understand it. Like with most things, I think that probably the reality is somewhere in between. But I'll be honest with you, I'm looking at trying to make sense of it. And I'm like, I'm not just going to assume that this is just chaos and, you know, ignore, you know, idiocy. Um, but I don't, I just, I don't see any rhyme or reason to this. I don't. It's, it's just, I think it's just the reality. So if you think about it in a situation like this, first of all, internally you have to have a very coherent strategy and roadmap and everyone has to understand that strategy and roadmap and you can't have people with different strategies trying to get their own stuff inside of it. And I think what we have is.

No one really knows what the strategy is. No one really agrees with the strategy is different individuals inside of the negotiations have their own

stuff that they care about. And then the big problem, I think, is you have a team go negotiate for a few weeks, maybe months, including some experts to get in the in the details. And then at the end, you're kind of like, all right, I think we got something here. And you take it to the boss. He's like, oh, if that changed this and this, and I want this. And you go back and they're like, whoa, like we just spent two months hammering this out. And I just want to throw this at me like, no.

I think, I think that explains it. And you've seen it, like people have even, they've been explicit. They've been like, we had a good thing going. And then, um, Howard Lutnick came in and just threw like three curveballs at us and we're not going to do those things. So we're like, yeah, stuff like that. Or like it just gets to Trump and he's like, no. And after they even, even Iran, like J.D. Vance kind of admitted, like we basically had it all hammered out. And then the president changed his mind with the variant. Yeah, and I what I've started to wonder if that's just not a negotiating tactic of his where let's get to know, you know, it's kind of the old adage We were you're buying the car right you agree to it and you're like, you know what man? I said I didn't need those. I said I didn't need those Formats for formats. Yeah, I said I need those formats But honestly if I bring them home if I bring this car home without them the wife isn't gonna you know, she's not gonna be happy You need to kick those in you know what I mean? I think that's kind of like the most Sane rational argument. I can come to about this quote-unquote negotiating tactic Yeah, but but it also appears to me to be pretty clear that these tactics are not nearly as effective in geopolitical issues as they are in real estate deals and And I'm not trying and I'm when I say that I'm not trying to I'm not trying to you know, and people are gonna be like, oh yeah, I'm not trying to take shots at Trump I'm just sitting there. I got a handicap this with what I see Maybe there's, like I said, maybe there's a bunch of stuff that is unknown to us that would make these tactics make a little more sense. If that's the case, then roll it out. Tell me why it is that we feel necessary to go an all-out trade war with Canada. I just haven't heard that explanation. I'll throw the same thing with Iran. Explain to me what we're doing and what the goal is.

Right. One day you're telling me it's not regime change. The next day you are. One day it's about nukes. The next day it's about... What are we doing?

The lack of top-down coherence is the problem. And it's the same problem. You can see it's the same story in Iran. On different days, we have a different goal. And on different days, we have a different strategy. And on different days, we have a different tactic. It never holds up. If you listen to different people in administration, they all sound way different. They cite different goals. They cite different strategies. One guy might really go out on a limb one day, and then the president solves that limb off the next day. I think there's just a lack of leadership on that coherence of strategy. And I don't know if it's because there's not a strategy. I don't know if it's because the strategy changes often. I don't know if it's all there, just the communication down as bad. I don't know what it is.

It is consistent across trade and defense policy so far, for sure. Yeah, looks the same. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Okay, now let's get into the real, the subject of the day, the treasury. Yeah. As, you know, if it's so funny because you see enough of these situations, In my mind, and when I talk about this, I just want everybody listening to know that I think this stuff is pretty historic just because, you know, a lot of people other than you and I have been talking about this for more than a decade and saying, look, there's an eventuality that is just kind of staring down the barrel at us, you know, and you play this game out and extrapolate it out a few more years. I don't see, you know, anyway around yield curve control.

All you know all the different things that we've talked about and in your mind you think oh man when that happens things are gonna bust loose You know one of the things I've learned is that when those things typically when that ship finally does come into harbor It's it's still just as big a deal as we thought it was but it's not seen that way right and and I was kind of going in today expecting more fireworks and as they didn't happen I kind of chuckled to myself and thought You know, that's usually the way most of these things happen is is when they get rolled out people's attitude is oh Well, hey, we'll cap yields. They'll quit going up. We won't have problems I view this is much more troubling I view it as an eventuality that was always

gonna happen, but it's still one of those that's kind of wild to see it finally pull into port So let's let's dig into that a little bit There's a lot of different strands to it reading through the tea leaves and reading through what Besson said, and you really haven't read through many tea leaves, but it sounds to be, you know, it sounds to me like just full tilt yield curve control, right? Just we're gonna and not even quantitative easing, right? Like they're not talking about it's virtually the same though. It's just treasury QE. So yeah, from from some treasury and it's basically through a duration, you know, metamorphosis like So if you go back I was very critical of this because what like If you're gonna do this do it, but like don't Just try to get yields down 20 bits by talking talking smack to the market because The bond market isn't the oil market. This is real money and it's long-term money. These are big players It's not it's not a few levered long contracts like you can just bar shock out of the way You're talking about sovereigns that are going to stare you right back in the face. So I think he made a mistake by going in small, thinking he could just jawbone it down a little bit the way he does with the oil. And this is not the way this market works. So he started small. Like, hey, we'll move the operations for buybacks from like 4 to 6 billion. The market is like, OK, goes down, goes right back up the next day.

Then he's like, oh, we could do more than six billion. The market's like, I don't care, man. So then he goes all the way nuclear to, we'll just do full blown yield curve control. And we will defend the long end by, by euthanizing it and replacing it with the short end is what he's essentially saying. Cause he said, we'll use the TGA, which is just the government's checking account that gets filled up by selling debt. Obviously then I got to go sell 30 years to buy 30 years. What he means is we're going to sell six month bills or whatever. And then we're going to go buy the 30 year. So, and the most important thing for people understand about this is a 30 year bond is a very, very, very different instrument than a six month bill. One of them is a life decision and long term, you know, asset. And the other is basically cash. Those function differently in the plumbing of the economy. They function differently in things like the velocity of money and the things that they can and cannot turn into and buy.

So as you rip down that average maturity, you're essentially financing more and more with basically cash. And cash-like things can turn into cash, and they can get spent. So it's really inflationary to go ripping the curve down. That's the awkward part of this, is it will work. The buyback program, which was a liquidity management tool, would not work. Not big enough to cap yields. But if you want to be like, look, we use the whole TGA. We'll just, if we got to go hundreds of billions at a time, we'll do it. Oh, okay. You can cap yields that way for sure. But at a really big cost. And the cost is inflation. The cost is potential capital flight at some point. The cost is the dollar's going to move down, which in itself is inflationary. The cost is inflation expectations, which are going to pressure the Fed to raise rates. And if you're going to lower the duration and then raise rates, you're just shoving all the debt into higher rate stuff, which is.

the thing you're trying to avoid. So the symptoms from this all like fight back against the reason you're doing it to begin with. Did you read Mike's Mike Green's piece about this? Yeah. Um, so Mike is cheerleading all this stuff. Mike thinks they should cut rates. Mike thinks they should, they should basically do this yield curve control through retiring old bonds and stuff. Yeah. Well, and I didn't really understand the logic. Um, And Mike's a really smart guy. I like Mike. I'm not, I don't mean this to knock on him at all. He's way smarter than us, but. No, he is. Well, he is. And I'm with you too, because he was talking about, oh, this is going to alleviate pressure on banks because they're going to be forced to realize a 45% loss on the, on their long duration bonds. But they won't realize it because they're going to be, they'll be made money good for giving the bond back essentially. So we're going to pay.

So it's also a bank bailout if you do it his way So we're gonna so this so this is gonna be pretty similar than to the whole Silicon Valley bank deal, right? Meaning we're gonna buy this stuff back from them at par Right. So yeah, so it's I mean and that's the way I was reading like it's more so socializing losses You know which to me makes a mockery of the Treasury market as a whole Well, yeah, I and and we and this is another thing we've been talking about for years If you're a financial institution that's sitting on a potential duration hole in your balance sheet You should eat it. You should eat a hundred percent. I mean You know, it's like the Silicon Valley Bank thing in

Redux where you're going wait a second We're bailing people out now because their bonds have gone down in value because they didn't realize that the highest printed inflation in the last 45 years might hit duration. Like if you, if you can't manage that part of your own, if you're a bank that got caught in that, you shouldn't be in business, right? That's ridiculous. And there's so many, there's so many different ways they could have hedged that. You just encourage, you know, you're basically telling people even more than you already, it's not just that the bonds are risk-free from a principal standpoint, like we will pay you back all the money. It's not only that, but if they get upside down on you, don't worry, like we'll take care of that too. Yeah, I don't want to be hyperbolic saying this, but when you combine this with the Silicon Valley bank deal, and when you combine this with TARP, nearly 16, 17 years ago, whatever that was, I don't think it's a big stretch to say that, you know, there's going to be people laugh out there and go, oh yeah, welcome to the party, man. But seriously, I don't think it's a stretch to say that our banking system has been nationalized. I mean, that's kind of what's going on here. And that they are utility, which at times it's going to be good for them. And at times they're going to bear the brunt on behalf of the government. That's why I don't like that. That's why I can't personally invest in them because I know at some point.

They're gonna get sacrificed, you know, they're gonna go to the top of the pyramid and get their head chopped off like the goat or whatever Yeah, yeah, you know thousand years ago. Yeah, it's just Yeah, I mean on on It's just a bizarre setting, right? We're like we're back culturally battling things like socialism and communism to a to a degree We never have before and then we're taking these types of measures in the financial industry, right, which is like We'll provide socialism for the S&P 500 and the biggest banks but not for you Yeah, right right or left the the the firmness of the hand of the state just gets way stronger no matter who's who's in control and it's gonna keep doing that Yeah, I mean we're picking winners and losers on a scale that would make Obama blush for sure right now. So Well, it'll be fair when I look back on some of those subsidies. I'm like man those those turned out. We should probably should kept doing some of those Yeah, but I then I sit there and look at it and go We're coming up with ways to bail out. If a bank can't manage the duration on their balance sheet in, I mean, let's face it. It's elementary. When should you hedge your duration? Well, when

policy rates are zero and inflation ticks above 5%. If you get flooded with deposits, put them in bills, man. I guess they'll pay nothing, but give it a minute. Yeah. If you're running a bank and you don't know that, you shouldn't be running a bank.

I like I just you know, it's again, like I said, it's like watching the Silicon Valley Bank thing and replay all over again. You're on your work because they can't manage their assets and because they can't manage their balance sheet, we're going to step in there and bail it out with taxpayer money again. And the odd thing to me is why didn't it is is I'm surprised they're going about it this way. Why why not just have the Fed launch QE again? Why not just have the Fed go in there and start printing money and buying up the long end? Well, for one thing, the committee has to sign off on it and they may not. But I think a lot of this is like, Besson has been, it's funny because he gives the Fed a lot of hard time for Mission Creep. I just think he wants to make the Treasury a lot bigger and more powerful of an entity. And I think he wants them to bring in house a lot of the stuff that the Fed does.

Well, that was always going to be, that was always going to be the way this progressed though, right? Like at some point, when you start thinking about yield curve control and you start thinking about the issues that we face, that financially speaking, our existential might be too big of a word, but, you know, it's... This is easier. Like it's in the executive branch instead of an independent committee that doesn't have to do what you say. Like... I think this makes it easier for him. Cause like right now, if you put it to a vote, FOMC, hey, you guys down to do, you know, tens of billions, maybe hundreds of billions of QE to, to stop bond yields from going up to be like, what? No. You know what I mean? Like, I mean, just, just three and a half weeks ago, whatever. And that like worse was like, we don't have to hike because the, the, the long ends doing it for us. And we want to stop putting our thumb on the long end, you know? Yeah. So that's the position of the fed. They're not doing QE for you. So you got to do it for yourself.

Let them mop it up. I keep, I don't want to be too dour into, you know, two of the dumps here, man, but I just, you know, you keep looking for good news and I'm just not getting it anywhere. Now, the flip side is flipping back over to financials. I mean, I don't think anything, I don't think any of

this is bearish. You know, I don't think it's bearish assets, financial assets, risk ask, it's generally speaking. Yeah. Debasing your currency is going to be good for everything. Yeah. But it's going to be better for things, price and other currencies. Yeah. Yeah. Which, hey, you know, just keep pounding the table on more natural resources, more commodities, more international stocks. Speaking of which one, it's reading some of these articles about Alibaba getting pounded and oh, they're spending too much in AI. I just, I laugh every time I see that. The shrub put out a pretty funny one today on Twitter.

about that same thing was, oh yeah, Ollie Bob is getting crucified because they're spending too much on CapEx. Yeah, they should have known better that it's only US Ponzi's to get that benefit, you know. And they sold some stocks too. Really getting in on a party, yeah. God help us, man. But I, you know, I think that kind of tells you all you need to know and I would just look at US investors and go, hey, we have, we have, and rightfully so, we've had home country bias for so long as an investing public. that it just looks so obvious to me when you see the composition of the average portfolio and not just U.S. portfolios, right, internationally. This movement and this rollover, this turnover that we've been talking about for so long about international stocks and other assets and natural resources and all the stuff that we've been talking about. Every single piece of news I see come out on a daily basis just reinforces that view.

And the crazy thing is, is even as the performance has flipped, right, where the sale, the incredible sale for the last 15 years that were US equities and US assets, they're getting spanked now, right? I mean, everybody else is zipping by them. And to watch US investors not accept that, not to digest that and not to make changes in their own portfolios, that to me looks like the biggest, to investors out there, right? I think that's the biggest risk right now. Like I just, I don't see anything that's going to slow down that flow. And when you look at policies that are coming out of the US right now, they're only reinforcing this, right? We're not taking actions that make that less attractive. All the actions we're taking and all the actions we're talking about taking further down the road, they're all reinforcing that view, right? If you need to get some more international assets, you need to get some commodities, you need to get precious metals, all that kind of stuff.

That would be my biggest warning to investors is go, hey, you know markets don't and we've talked about this too You got to take advantage of the craziness of these markets because one of the biggest advantages is it does give you a lot of warning it gives you a lot of warning for for whatever reason and I just don't I don't think people are eating that warning call or that sirens that siren called nearly or the siren song excuse me I don't think anybody's eating that siren song is nearly as as much as they should be and You know, I mean, we can see it in our performance. You don't need to look at our performance. You just got all different indexes around the world, looking gold compared to Bitcoin. I mean, you see it all over the place. So another way to illustrate it, if you go back like 20 months, European equities priced in dollars are beating US equities priced in euros by 30% plus. So like that currency part is like, it's a bigger weight than people think. It's not like It's like Europe took off with growth or, you know, great new policies. Like they're just still Europe based more other than some defense spending, largely doing the same stuff and they're destroying the US in the last 20 months, mostly just because of currencies. Like that's it. Like it shows you. So imagine the countries that are doing some amazing stuff like, like a Greece, right? Like the performance you get in there, like very impressive. I think we should definitely talk about the D-Day slash China thing.

Yeah, before we roll. Yeah, let's do that. D-Day stuff, kind of honestly, as I was expected, very light on details. We said, yeah, we're going to have a big announcement Monday. And the big announcement was like, we're going to talk to people about doing some stuff if they don't stop doing business with Iran. And here's some stuff that we sanctioned. And it was like really low level stuff. So like, now there's some Chinese stuff on there, which even that kind of surprises me. But it was like none of the major banks or anything. And they're saying, we will cut off major banks around the world from the dollar system if they don't cut their ties. I don't know if I believe that, especially as it pertains to China. And China is the only thing that matters here, honestly. So either we're willing to reignite massive economic warfare with China, which seems like it would be the dumbest thing in history of the world, or the teeth inside of this new policy aren't going to be big enough to make Iran forget, make them quit, even make them consider it.

Plus, as we always say, like it, you know, Iran's South agency here, they still have missiles and drones. They can shoot at stuff to get back at us. So point being, I don't think it's that big a deal, but we'll say it did say some stuff in China. We did announce a seven and a half percent over capacity tariff on China today. And Xi Jinping is going to be here in less than a month or about a month. Like, this is to the point where I'm like concerned he may cancel this trip possibly unless he was in on all of this. And if we actually did escalate to the point where we went after something serious there, then we're right back in an economic war with them. And we've already proven we'll lose that. I feel like we're playing inflation bingo right now. But we're trying to fill out our inflation card with as many inflationary choices as we can make. And I don't really understand any of them individually. I especially don't understand them all as a cocktail of mixing them all together. So just my thoughts on it.

No, I it's It's funny because again, you and I haven't spoken about this, but that's the I And again, I I'll leave room to say maybe there is some strategy behind it I don't see it, but it just feels like we're trying to start fires on all fronts right now and considering the issues that we have considering What what it considering the issues that we have and how we're trying to deal with them It, it's, it's a really hard follow for me to understand the rhetoric and the positioning that we're doing because it's like we're pointing a gun at the few people that can actually make all of our problems significantly harder to deal with. And it's just, it's a bit of a head scratcher. I, I, um, I'm, I'm out to like, if this works well or even decent and don't be wrong, this is going to pressure Iran to make things worse there.

The economy is going to go from crisis to bigger crisis, for sure. But if it works, then why didn't we do that instead of a war? If it works, why didn't we do it two years ago, five years ago, eight years ago? This is my point about solid power. The rate was closed six months before we tried it. That's why I'm very skeptical of it to begin with. Yeah. Well, I mean that. And if we follow through and start kicking people off the dollar again, That's terrible for the dollar. And that's more people that will rally around the Chinese payment rails and stuff and just leave the system. And the system has benefited us in so many ways. Not all. It's not perfect. It has its drawbacks. But if you get a rush away from the dollar system, because

we're too harsh about trying to win one little war with the dollar as the weapon.

Even that like we won the war on this, but we lost a bunch of people on the dollar system. Like again, that's that's a small win for a strategic loss. Yeah. And those are incredibly expensive munitions, right? Like meaning you only get to fire those once and the paycheck or and the bill for that continues to keep coming year after year after year. And when you're thinking about like maintaining reserve status for the dollar, Which, look, I don't think that you're two or three years away from that ending. And now anything in this world is possible. Unless you go all in on something like this, maybe, yeah. Right, right. I mean, you could end up ushering it in unintentionally yourself. But that's a serious problem, because when you're staring at the deficits and the debt that we are, being the world reserve currency buys you a whole lot of time and flexibility to deal with that issue.

If we were to lose that, this debt issue and deficit, you know, all the different things that we're talking about, they become infinitely more sticky and infinitely more complicated and infinitely more damaging and would usher in the need to take much more draconian and really nasty steps that look, you know, the hardcore. And I'm so sympathetic to this the hardcore free market guys and all that kind of stuff You know, hey, we got to pay the bill and I agree But I just don't think when people are making that argument, you know, just the the laissez-faire approach Well, good, you know, we got to we got to do it eventually we got a D lever we got to do you're like guys That that's that's a point of view in my opinion that could have been expressed 25 or 30 years ago It I don't think I yeah, I mean I don't think you could take those steps today without causing something that at least looked and rhymed like a like a depression And it's politically impossible the politics are not possible. It's not possible No, yeah, and I mean you want to get to you want to get America into a socialist? posture you want to get a bunch of socialists invested in do that and that and that's one of the pernicious things about this road to perdition that that countries like ours go down was spending money that they don't have is is it gets you into places like these where you're looking at your outs you're looking at your solutions going there aren't any good ones right and and if you're one of those people out there that thinks just every large government solution or

socialism or communism is the answer I would tell you to look at the current situation right meaning um you know the meaning we got here from not socialist practices but sort I mean sort of financially and fiscally meaning spending a bunch of money that you don't have right living so far outside your means and you know to use one of your favorite phrases you know making meals out of your seed corn you eventually get into a situation that we're currently in now granted it's not nearly as is acute as it could be or as it could get I still think that there are things you can do but you know and I don't want to get stuck on this too long we've already gone long here but What are real life solutions at this point? I mean, I just think that there are a lot of hard choices where... The answer is structural reforms. Right. So make health care a way less percentage GDP, one way or another. Obviously make social security a much smaller percentage GDP as an outlay. That's where it starts. If you just look at the budget, it really, it's interest.

It's Medicaid Medicare defense spending. It's defense and social security. So like you have to make structural reforms to all of those things. Yep. Yeah. Or at least one of them. Yeah. Well, no one's even talking about doing those things. No, no, nobody's even talking. We're talking about making them all worse. This is depressing, man. Basically, basically double defense spending inside of five years. Like it's, it's, yeah, like I said, it's depressing. I wasn't feeling depressed today, but as we go through this conversation, maybe I didn't get enough sleep last night or something, but I'm sitting there. Look at the gold chart though. The gold chart loves it. That's the only good news is that from an, I know, I just figured I would practice standpoint. You can defend a people from it. You can defend people's hard earned wealth from what otherwise could have taken a bunch of it away. That's, to me, that's the mission, you know, like.

No, a hundred percent. I mean, on our side of it, the mission stays exactly what the same is. And I think we're pointed in the right vector and, um, but, you know, I just, yeah, I would, I would have thought that as a, as a guy that believes his gold should be a permanent part of a portfolio, especially in times like these, I just thought I would have been a lot more excited when gold hit 5,000. Uh, you know, as a young investor, you go, Oh man, if gold ever hits 5 grand, we're going to be And it's, you know, and I, I probably got

some, it kind of reminds me of some comments, some, some graybeards told me at the time, which was son, when gold hits 5,000, it's not going to be a lot of fun. I'm just now. Right. Right. And, uh, and I really, gold's a fascinating one to me because in this world, I felt when we first hit 5,000 that we were really overstretched and that we were going to need some time to absorb this.

When I see what continues to roll down the pipe though, I'm starting to look at that 5,000 number going. You this might be a pretty good number. Right. The number can become anything nutty, especially if we start seeing capital flight because of this kind of stuff, then the number can be whatever it wants to be. Yeah. Unfortunately. Yeah. So do you got anything else, man? They at least manage that part. No, I think that's that's the big stuff. I feel like I need to go outside and get some vitamin D. and like, take an SSRI or something now after this conversation. Not really, but dude, I was getting, you know, this is a bummer. Anyway, no, I'm done too, man. I just, it's just weird to, like I said, it's just kind of an ominous, weird feeling to see an announcement from Treasury like that that you knew was coming, but it always No matter what you, no matter how you saw the numbers tilting and no matter how much the data said it was coming, it was just one of those things at least for me that you just always thought was further out there. And then it happens and nobody really says anything about it and you're looking around going, do you realize what they just said? I know. They're socializing our bond market. Right. I thought it'd be like in a fire where it's like, they have a voice. Instead of like this one, this feels elective and it feels like they got caught in that escalation trap with Vaughan vigilantes where they had to keep coming in over the vigilantes heads. And to the point where it's like, you know, the dust clears, you're like, Whoa, guys, really? Like that's right now. Like, you know, we're doing okay here. Like, why did we go that far? You know, at some point you got to blow up your credibility because the math is the math, right? But can we not blow up our credibility until we have to? That would be great.

Yeah. I just, you know, if you, if you would have saw the long end rip by 250 to 300 basis points over the course of 60 days or something, like I would understand it, which, which is another bit of a concern. Maybe there's bigger issues they see underneath the surface that we're not aware of.

Right. And that's, you know, maybe don't do this, if not, because that, because like it's not crazy for everyone to be like, whoa, whoa, whoa, like what are you? What do you see? Because he's talking about how he has asymmetric information, and he knows things we don't, and we should trust him. It's like, well, now I'm more afraid if you have asymmetric information, you're trying to cap the yield curve while unemployment's 4.1%.

Well, and I saw I saw some people trying to make the argument that this is an effort or a way to kind of Unclog the banking system that this is preventing the these bonds sitting there with losses on their balance sheets is preventing more lending and all that kind of stuff But I'm looking around going no nothing. No because money Well, no, especially when you look at the housing market because the banks don't even lend on their own terms anymore Those terms were I mean that was that was Dodd Frank wasn't it that effectively made universal lending standards across all the banks meaning It's really the bank system. Nobody can afford a house. That's why there's no demand for a mortgage. Right. This isn't a blending issue. It's the same for most forms of credit. They put out the surveys to the banks and they asked them the questions. And they're like, basically, hey, how's your demand? And for years, it's been like, not great. If people don't want loans, you can't make loans unless you make them on terms where you're losing a bunch of money. What's the point of that? This ain't 0809 where the credit markets are frozen. Right? Exactly.

I don't get it like I said loosened up a lot or not a lot maybe but they've loosened up like Nothing's stopping to go for borrowing money other than they don't want to borrow money Yeah, except unless you're hyper scaler building building, you know the digital sky daddy Then you want all the money you can get your hands on Well, remember dead equals wealth and those in those calculations my friend. He's got it. You gotta have more he's got a more imagination I'll leave us with something light and that's It's been very enjoyable to watch these robot Olympics from China. Yeah. It's just cool and fun, but it's also like hilarious to watch them, like some of them fail and just like go nuts and blow up. And then some of them, the one that they created that did like the 400 meter way it ran was like hunched over

with arms. Yeah. Yeah. Arms are going like this. It looks like it's clapping for itself almost.

And yeah, he beat Usain's way. It beat Usain both time. It ran like a nine five flat was that it or nine three nine or something like that. Yeah. The one that ran to the wall and it fell back and blew its back up and like, you know, I was thinking when I was watching that man, I, and I saw another commercial is like, this feels like a scene right out of Star Wars where they're like introducing the droid, the droid army. You know what I mean? It's, it's, it's wild, wild times we're living in. Anyway, you got anything else? No, I'm good to go. Alright, I don't either. So as you guys know, you can follow both Chase and I on social media. I'm at KYR Radio Chases at Pinecone Macro. Go to YouTube for the video feeds. Just search Know Your Risk podcast on every other podcast site out there. For advisory services, go to BoardCapitalManagement.com. You guys know the drill. Have a wonderful evening. We'll see you again tomorrow. You're listening to Know Your Risk podcast. Download and subscribe at KnowYourRiskPodcast.com.

Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bollard Capital Management is a marketing name only and does not carry a separate registration.